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SLOW PROFITS TODAY, BUT SURE PROFITS TOMORROW

The business policies that have been developed by devoting nearly a half-century to perfecting a single idea into an ideal

An interview by Samuel Crowther with
GEORGE EASTMAN
PRESIDENT, EASTMAN KODAK COMPANY

A DETERMINATION, after ten years of routine work, to get into something for myself that held a future is responsible for the idea that is expressed in the Kodak. For our company is built upon a single idea developed into an ideal that is contained in eight words, and whatever measure of success that has come to us has been in direct proportion to the nearness of our approach to that ideal. In the beginning, when we were far away from it, our business was small; as we drew nearer, the business increased."

That in a paragraph is the way that George Eastman expresses what might be called the genius of what in many respects is one of the most remarkable business organizations in the world—"the kodak business," a typically American, pioneer business, animated and directed by its founder, and extending its functions into every quarter of the globe. Continued Mr. Eastman:

"If you draw a straight line across the top of a sheet of paper and call that our ideal and then, beginning at the lower left-hand corner, plot a curve upward according to the development of our product, then that curve will also roughly represent the increase in the volume of our business. The curve will pass through making the first "dry" plate, then through the protection of those plates from quick deterioration, then on through the invention of the film and the cartridge film, to the making of a camera that would take a whole roll of films, and the beginning of the period of 'You press the button and we do the rest.'

"It would go on past the daylight loading of the films, the simplification of development and printing for amateurs, the autographing of the film at the time of exposure, and get into the complexities of motion pictures and cameras for aerial and other special uses. In each of these divisions would be many subdivisions and an accurate progress-of-product-chart would be very complex, but the big point is that the curve of sales would, excepting for such influences as the war and the growth of the motion picture, almost exactly correspond with the rise of the ideal curve toward the ideal.



HE HAS BUILT ON A BIG PRINCIPLE

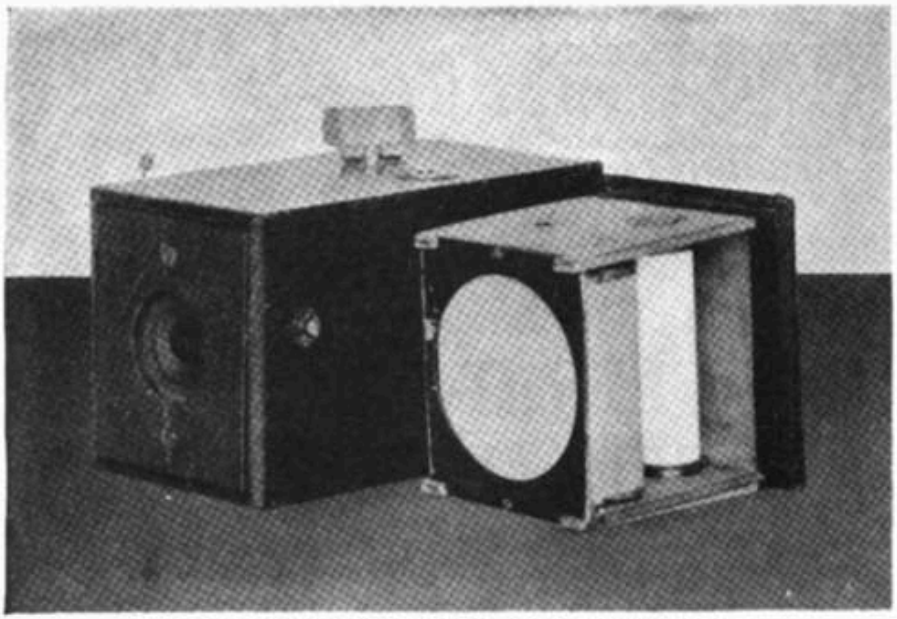
Ever since he drew his first savings—$3,000—from the bank to open his own business, Mr. Eastman has kept as his guiding principle working toward "the embodiment of an idea"

"What we have made and advertised and sold has always been the embodiment of an idea rather than a piece of photographic apparatus. We have, from time to time, put emphasis on some particular development that we especially wanted to tell the public about, but the ideal, not the product of the moment, has always ruled. The idea on which our institution is built is this: 'Make the camera as convenient as the pencil.'

"The ideal did not come into being all at once. My father died when I was six years old and the Eastman Commercial College, which he had founded and out of which he had made a comfortable living for us, did not long survive as an income producer. My mother did all that was possible for a mother to do—and that is an amount which few of us realize—and somehow I do not know how she did manage. But at 14, as the man of the family, I felt that it was time to go to work and become an income producer.

"An insurance agency took me as office boy at $3 a week; then I rose to $5. After six years of this general experience, I found an opening as a junior clerk in the Rochester Savings Bank at $800 a year—which was then not at all bad pay. By 1878, when I had been working 10 years, I began to look around for some work that held a bigger future than did the bank. This was in Grant's administration and everyone was talking about purchasing Samana Bay in Santo Domingo as a naval base. Santo Domingo struck my fancy and, carefully figuring out the expense, the trip down there seemed feasible. I talked it over with a man at the bank who had been an assistant to the photographer of the

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THE FIRST KODAK WENT ON THE MARKET IN 1888

"The modern camera differs in refinement of detail—not in principle—from the old camera." The basic idea in this development, "the idea upon which our institution is built," has been "to make the camera as convenient as the lead pencil"

famous Powell Survey and he told me what a wonderful thing it would be to take a camera along and make a real record of the expedition.

"Taking a camera means nothing today—just a little box and some films. But in those days, one did not 'take' a camera; one accompanied the outfit of which the camera was only a part. I bought an outfit and learned that it took not only a strong but also a dauntless man to be an outdoor photographer. My layout, which included only the essentials, had in it a camera about the size of a soap box, a tripod, which was strong and heavy enough to support a bungalow, a big plate holder, a dark tent, a nitrate bath, and a container for water. The glass plates were not, as now, in the holder ready for use; they were what is known as 'wet plates'—that is, glass which had to be coated with collodion and then sensitized with nitrate of silver in the field just before exposure. Hence the nitrate of silver was something that always had to go along and it was perhaps the most awkward companion imaginable on a journey. Being corrosive, the container had to be of glass and the cover tight—for silver nitrate is not a liquid to get intimate with. The first time that I took a silver bath away with me, I wrapped it with exceeding great care and put it in my trunk. The cover leaked, the nitrate got out, and stained most of my clothing.

"Taking photographs outdoors was an elaborate and painstaking ordeal. One had to set up a dark tent and sensitize the plates with the nitrate of silver. This was not only a tedious undertaking, but one that required considerable skill—in fact, I could do nothing with my first outfit until after I had paid a professional photographer in Rochester $5 to give me lessons. The knowledge was all empirical and the chemical reactions in the nitrate of silver bath were so complicated that it would most unexpectedly and awkwardly fail to function. The procedure was intricate and cumbersome and the expense also was considerable and hence people in general took it for granted that every man who owned a camera made a living out of it. Amateurs were all but unknown. There were only two in Rochester.

"I did not go to Santo Domingo. But that did not matter so much because, in making ready, I had become wholly absorbed in photography—in spite of all the trouble involved and in spite of the fact that, wherever I set up my apparatus, a crowd drew around as though I were going to open a patent medicine show. One burning hot day I set up my encampment to go about photographing the natural bridge at Mackinac and then disappeared into my little teepee to make the plates ready. When I came out, a party of tourists had draped themselves about the bridge in the engaging attitudes that were then thought necessary when one was photographed close to nature.

THE AMATEUR WAS THEN A COURAGEOUS ADVENTURER

"I paid no attention to them, took several exposures, and, when I had finished, one of the men came forward and inquired the price. I told him that I was an amateur making pictures for my own amusement and not for sale. He exploded:

" 'Then why did you let us stand in the hot sun for a full half-hour while you fooled around with your contraptions! You ought to wear a sign saying that you are an amateur.'

"Being an amateur was, I suppose, arduous work, but one never finds a hobby hard riding and I went out taking photographs whenever I could, read everything [illegible] subject, and generally tried to put myself on the plane of the professional photographer without, however, any idea of going into the business of photography. Since I took my views mostly outdoors—I had no studio—the bulk of the paraphernalia worried me. It seemed that one ought to be able to carry less than a pack-horse load.

"But it was not until I came across an English magazine telling of some experiments in the way of making the gelatin 'dry' plates to replace the 'wet' and thus avoid the objectionable sensitizing in the field, that I gained any notion of the direction in which simplicity might lie. The modern camera differs in refinement of detail, not in principle, from the old camera. The great change has come about in plate or film.

"The English article started me in the right direction. I began in my spare time—for I was still working in the bank—to compose an emulsion that could be coated and dried on a glass plate and retain its properties long enough to be used in the field and thus avoid lugging around the dark tent and silver bath. My first results did not amount to much but, finally, I came upon a coating of gelatine and silver bromide emulsion that had all the necessary photographic qualities—at least the plates answered my purposes and I no longer had to carry the sensitizing section of my outfit.

"It is during this period that the idea behind the Kodak was probably conceived—although only in elementary form. At first I wanted to make photography simpler merely for my own convenience, but soon I thought of the possibilities of commercial production. It was the photographer who had taught me how to make photographs who was responsible for beginning the manufacture of the plates. He asked me to make some for him and I did so at home.

"These proved to be entirely successful and I made more of them, although still at home. More and more people wanted to buy them and I saw that I had the beginning of a business on my own account and, drawing $3,000 that I had saved from my salary, I hired a room on the third floor of a building on State Street and with one employee duly embarked on the business of making dry plates. Our product at that time was used almost entirely by professional photographers. The amateurs was a later development.

"The demand for our plates was continually beyond our capacity to produce. I sold them to jobbers and also did a small amount of advertising. This was in summer and we were faced with the difficulty that, on the approach of winter, the demand would fall off and that we would not have money enough to make and store plates through the winter against the demands of the following summer.

"A New York jobber proposed that if we would give him the exclusive agency, would agree to buy continuously throu[gh]

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the winter and that would keep us in full swing. I accepted, for even with my small factory, I already realized that a highly seasonal business is essentially a crude business. With enough orders to keep the factory going full time, I began to think that I was well on the way to success and indeed I did have an apparently sound and profitable little enterprize. I had not yet either heard or seen the breakers that were ahead.

"The manufacture of dry plates was the first great step towards the simplification of photography. Having gone that far and having had a taste of what making photography easier would mean in a commercial way, the idea gradually dawned on me, although it was not until later that it took definite form, that what we were doing in that shop was not merely making dry plates but that we were starting out to make photography an everyday affair.

"I did not know then—in fact, I do not know now after years of experiments—just how simple photography can be made. But I had not been making dry plates very long before the horizon became broader. That is, it appeared that photography could be made reasonably convenient for the general public. The doing away with the nitrate of silver bath had already opened the field to the amateur, for now his kit, although still heavy, did not have the glass bath and the dark tent. Neither did he require so well-rounded a skill in order to gain a reasonable amount of fun. The dry plate was the result of an effort to make results less dependent on skill.

"Two distinct business policies thus presented themselves. The one was to consider myself as a manufacturer of dry plates and to perfect them as an end in itself. The other was to take the whole art of photography and, starting with perfecting dry plates, set out to make the camera as easy a recorder as the pencil. In a little while we formulated our policy. I am talking of the policy somewhat ahead of its adoption.

"Some such choice comes to nearly everyone in business. There is always a forked road of policy. One may make a thing and make it well and consider his business as primarily a making of things. Or, one may set up an ideal and consider those things which he makes only as steps toward the ideal.

"The first method held no attraction for me; it is a journey with but money as a destination. I adopted the second because, with an ideal, the journey's end is never reached: there is always the experiment, the hazard of going beyond where anyone else has gone. It holds as great a measure of fascinating adventure as did the search for the poles.

"I like to think of every new style of camera or film, of each improvement that we offer, as new chartings in the blank, unknown lands of the map. One might, it is true, have all these adventures in pure[illegible] me, more adventure in putting each discovery to the ultimate test of public use, for then the discovery becomes an addition to everyday life. It is in this mixture of discovery, making and selling on such a self-sustaining basis that there will be proper compensation for all concerned and a growing fund for extension that constitutes the thrilling adventure of business."

"What are your controlling principles?" I asked.

"Business must have continuity to be successful," answered Mr. Eastman. "Continuity depends upon certain broad policies that are wrought out of experience. Of those, the most important is that of having an ideal and then selling an idea instead of a thing. This may not be of universal application, but with us it is all-important, because we had first to convince the public that photography was interesting enough to be investigated and then had further to convince that no special and not easily acquired skill was necessary to gain fair results. This,



THE ENTIRE PLANT IN 1891—



—AND THE OFFICES NOW

"Business must have continuity to be successful. Continuity depends upon certain broad policies that are wrought out of experience. Of those the most important is that of having an ideal and then selling an idea instead of a thing. This may not be of universal application, but with us it is all-important"

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perhaps, is a business motive rather than a policy, but in order to carry it out, we adopted other fixed policies without which we should not today have a business. They did not of themselves build the business; that was built by men. But they, in a way, fastened each plank as it was put in place.

"One policy that began with the inception of the business and has continued ever since, is this: Keep out of debt. That is a policy which is considerably easier to enunciate than to practise. I would not say that one should never borrow to start a business, but I do say that one is more independent if one can finance out of earnings. The policy is personal with me for I have always had a horror of poverty, and debt in my mind is connected with eventual poverty. For, when one has the opportunity to borrow money that need not be paid out of the manufacturing of goods in current process, there is always the danger of going ahead too fast and, at the first set-back, being wiped out or handing the results of what you have accomplished over to someone else. And set-backs are the portion of every business. We have experienced two very bad ones.

"Our first big blow came within the first year, just about the time I had decided the business was a success. We did not know a great deal about the qualities of the dry plates we first produced. The demand was great, and the jobbers took and sold every plate we could make. Then I made the exclusive agency contract that I have mentioned. We manufactured right through the winter and the jobber stored these plates as they were delivered, so that when the summer sales began, they first disposed of the newly delivered stock and it was not until well along in the season that they worked back to the stock that had been made and deli[illegible] then the

"The purchasers threw back their plates on the jobber and refused to buy more; they said that they could not get pictures. The sales dropped to zero, and the agent who had paid for his stock on delivery, turned to me to know what I was going to do about it. I investigated and found that the emulsion deteriorated with time, that the life of a plate at that time was only a few months, and hence the complaints had begun just as soon as the sales had reached into the winter's stock. It would, of course, have been entirely possible to have sympathized with the jobber and let him bear the loss. The plates were not sold under a guarantee; I did not know that they would not last indefinitely; the jobbers were presumed to know what they were buying, and, if they bought an article which spoiled on their hands before sale, that was (*Continued on page 70*)

HOW BIG SHOULD A BUSINESS GROW?

Some arguments—based on hard-earned experience—that point in a direction that is not ordinary

By JOHN J. RASKOB
VICE-PRESIDENT, E. I. DU PONT DE NEMOURS AND COMPANY

THE problem of a big business is essentially one of expansion. Big business does not start big; it gets big. If the business is well managed there should be a surplus of capital and a surplus of energy which continually demand a broader field of effort. Is there a limit to the broadness of the field? The question "Where do we go from here?" is one which the managers of the larger enterprises must continually ask themselves. They have got to go somewhere; they cannot go back. They must go in some forward direction.

And finding the right direction involves the consideration of an extraordinarily large number of problems, for expanding is not merely a matter of growing bigger. One can grow big and become unwieldy. Not always is the expansion, so to speak, forced by growth. One may have to expand to make more valuable that which one already has.

These problems might seem to hold nothing at all for the small business or the business which is not unduly prosperous, yet such is not at all the case. Only a few years ago I was thinking in dollars and the men with whom I was associated were thinking in thousands and occasionally in millions. Today this same group with which I am now associated is thinking in millions and hundreds of millions. I do not find that the method of approach to problems, or the considerations which influence us are very different from those which we used to have and they are in a way those which even the very small man also has with him, for no matter what the size of the business, the ever-present question is "Where do we go from here?" We must go forward, and although the problems of big and of little business do differ very much in detail the controlling considerations are nearly alike. For instance, the idea behind the savings and stock participation plan of the General Motors Company is not materially different from one that I started years ago with my own children and now when the plan is in effect in a big way in a great corporation, I have readapted it to put it into effect in my household.

Out of my participation in larger affairs and growing out of this matter of expansion come certain lessons, or problems, or whatever you choose to call them, which may form the basis of business discussion.

I

NOT so many years ago every man, when his business grew, hoped fervently that he might live to achieve a monopoly. That was the business thought not particularly of America but of the world. From the days of the merchant adventurers, of the East India Company, of the Hudson's Bay Company, of dozens of other companies, monopoly has always been the goal. The theory seemed to be that there was only so much business to be had and therefore the plain way to achieve the largest success was to get hold of all that business. Every expansion was first in the direction of covering the whole market and then of forcing all competitors out of that market. This monopoly idea grew out of the dicta of those economists who seem to regard markets as static and who cannot understand that the consuming power of an individual or of a community varies with the ability to buy, and that an increase or a decrease in the buying ability depends upon a greater or a less supply of wealth, or upon the lowering or the raising of commodity prices. The notion was that people could buy only so much; the way to large business success was to see to it that you supplied all that they bought.

We have now discovered otherwise, possibly through necessity; but anyhow it has been brought home very powerfully to me that a great business must diligently guard itself against becoming anything in the nature of a monopoly and that it i

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good enough for amateur purposes and the holder for the rolls could be attached to the back of the ordinary camera.

"That was the turning point of our business; from that time forward we were out of the rut and making a distinctive product. The public bought eagerly and, for the first time, we invaded Europe—the home of photography. Mr. Walker established our first European branch; today we are in every corner of the world.

"The film did not function to the best advantage in the existing cameras, but we had an alternative—a camera of our own, especially designed to use films. We had made ourselves distinctive in the beginning by the quality of our dry plate. We continued the distinctiveness in being the first to make films. Now we had a camera—but it was not the ordinary camera. It was a distinctive camera and it needed a distinctive name instead of being just a particular make of camera. Hence the name "Kodak."

THE REASONING THAT LIES BACK OF THE NAME "KODAK"

"I devised the name myself. A trade-mark should be short, vigorous, incapable of being mispelled to an extent that will destroy its identity and—in order to satisfy trade-mark laws—it must mean nothing. If the name has no dictionary definition, it must be associated only with your product and you will cease to be known as producing a 'kind' of anything.

"The letter 'K' had been a favorite with me—it seems a strong, incisive sort of letter. Therefore, the word I wanted had to start with 'K'. Then it became a question of trying out a great number of combinations of letters that made words starting and ending with 'K.' The word 'Kodak' is the result. Instead of merely making cameras and camera supplies, we made Kodaks and Kodak supplies. It became the distinctive word for our products. Hence the slogan: 'If it isn't an Eastman, it isn't a Kodak.'

"The first Kodak went on the market in July, 1888—10 years after we had started business. It was a square box and held a roll of 100 exposures, taking a round picture 2½ inches in diameter. It sold for $25.

"We had in this the beginning of what we were after—a camera that would take pictures in the hands of a greenhorn. You only had to point it at an object and press the button. The user performed no photographic operation; we sold it loaded, and when the whole roll was exposed, the owner sent it back to us, or to the developers that sprang up all over the country and had the films developed and a new roll put in for $10. That camera was not perfect; the big roll of film meant that the camera user had to wait days and weeks to see the results of his work, for the ordinary amateur will not, after the first enthusiasm wears off, try to shoot everything in sight. He will wait. Therefore, 100 films in a roll was too much for

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SURE PROFITS TOMORROW

(*Continued from page 610*)

their fault for not selling it quickly enough.

"I had sold those plates under the impression that they were not perishable. We, all of us, had taken for granted that, since a plate would remain good for a month or two, it would remain equally good for an indefinite number of months. Nobody was at fault. The jobber had no case against me and did not claim to have. He would have taken the loss—and not bought any more plates. Our decision was automatic. We took all of the plates back—and there were thousands of them—and replaced them with new ones. The money that we had previously earned had gone into the extension of manufacturing facilities. Making good on those plates took our last dollar. But what we had left was more important—reputation. Our customers were ready with more orders. Also, they were ready to pay on delivery. We managed with what materials we had on hand to produce enough, in hand-to-mouth fashion, to keep going, and then gradually to get back to a firmer and better basis than we operated on before. For now we had reputation—and photographic material is bought on reputation.

"If the little company had been working on borrowed capital, we should probably have failed in that first disaster, for we should not have had the money to meet the interest on the borrowed money and we probably should have gone ahead faster and had even more plates to replace.

"From that disaster we learned much. We could not date our plates and insist that they be sold within a certain time, for our competitors—others were now making dry plates—would have used that as an argument against us even though their plates would deteriorate quite as rapidly as ours. Therefore, we set about discovering a method of prolonging the plate life and made considerable progress.

"But, more important than all, this disaster and the fact that we could not date and thus control our product forced the necessity of finding a product that we could control. One often cannot market his product in the best way simply because of competition. Later on when we made films, we undertook the supervision of the distributors' sales, to the point of seeing that they disposed of their oldest stocks first. Today, we have a quite elaborate procedure, involving the method of storing by the distributors so that the newest films are placed in the case behind the older ones and, further, a rather careful scrutiny of sales to the end that no distributor buys a greater film stock than he can be reasonably expected to dispose of. For it is part of the manufacturer's duty to see that customers get what they think they are buying.

"Once on our feet again, I needed money for extension and took as a partner,



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Figure 604

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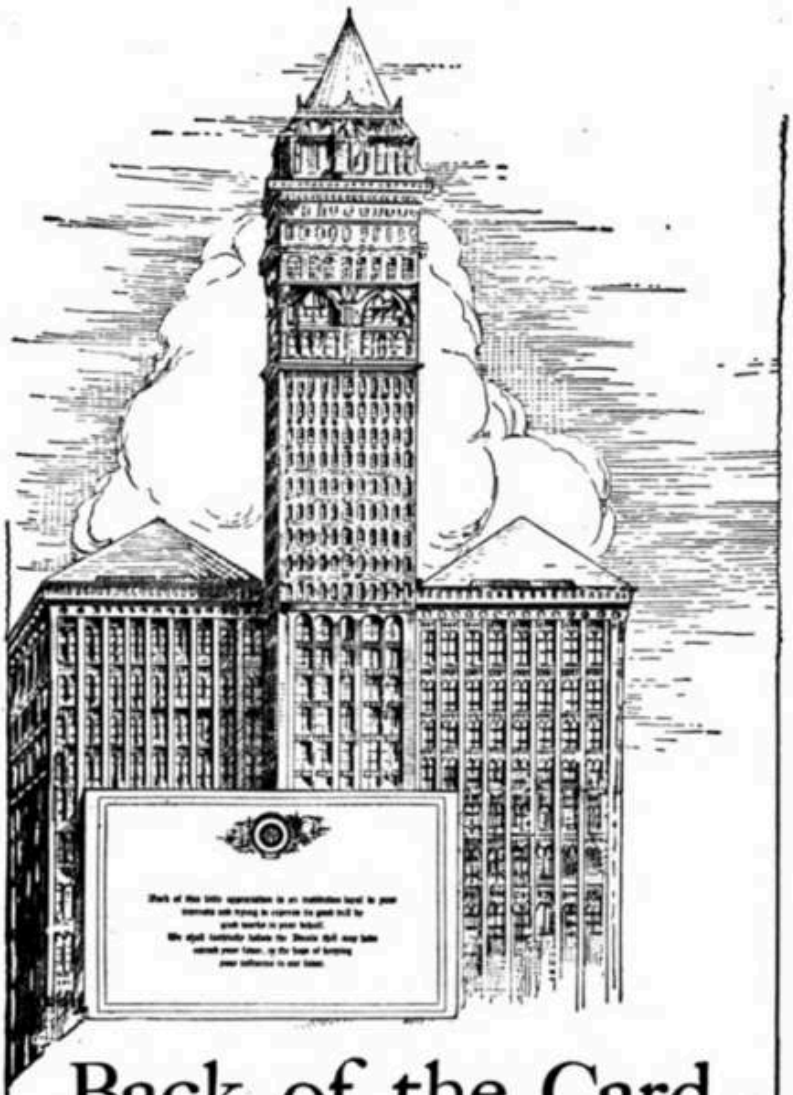
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Henry A. Strong, who had been a boarder in my mother's home. He had become wealthy in the manufacture of whips. Mr. Strong put in dollar for dollar of assets but took little part in the management. He also loaned us money, but this, being from a partner to a firm, I did not consider in the same way that I would money from the outside. And he was quickly repaid out of earnings. During the early days I did once try to borrow money from the bank. It was quite an ordeal that I went through with the highly dignified president; he asked me many questions and finally said I might have the money on Mr. Strong's endorsement. I went back and told Mr. Strong this.

HOW "CONTROLLING THE ALTERNATIVE" SAVED THE BUSINESS

"'He wanted my endorsement, did he? How much do you need?'

"Then he sat down and wrote out a check for the amount!

"Then came our next great blow. We could not produce a single first-class plate!

"We had the same formulas as before and, we thought, used the same materials as before, but the plates that we turned out would not take pictures—they might have been just so much window glass. I worked day and night to discover the trouble, but without result. Then I took the first boat for England, went to the firm that made the best dry plates in England, and bought their formula for use in America—I worked for a week in their factory to make certain that I understood every process. I do not know to this day just why our own formula failed, but I imagine that it was due to the gelatine. We had used a particular sort of gelatine for one part of the emulsion; the supply gave out and we could never get any more exactly like it. I shall never forget that experience. It was just like waking in the morning with a clear mind and a paralysis of every muscle. We were very near to business death. I suffered more acutely during that time than in my whole business career before and after. It was a terrible experience.

"Out of that second escape from failure came another and perhaps the biggest of all lessons in policy. I call the policy 'controlling the alternative.' We had staked our all on a particular formula and when that failed we should have had to go out of business had I not been able to get the English formula. As it was, we stopped manufacturing for a month right in our busiest season.

"Never, since that time, have we depended upon only one way of doing anything—whether that anything be a manufacturing process, or a product, or even a building site. There are those who say that the way to achieve business success is to put all the eggs in one basket and watch the basket. With that I do not agree; I think that one can go on most confidently if matters are so arranged that a single failure will not also be a total

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Where can I get the names of competitive manufacturers of the lines we purchase?

Where is the nearest source of supply of materials we must have to keep operating?

Where can I find the name and address of a manufacturer when I have only the trade name of his product?

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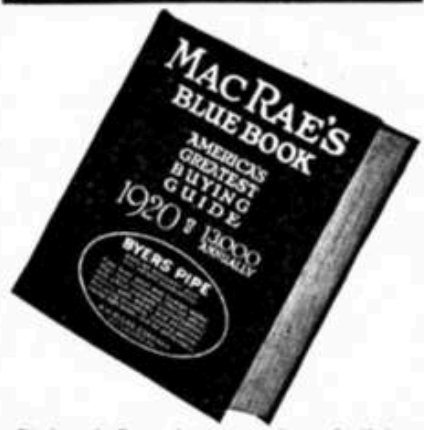
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failure. It decide everything in advance.

"In Rochester we have now the most extensive experimental laboratories in the world devoted to investigating the processes of photography and the methods of manufacture. We make almost everything of importance that enters into the composition of our product and we leave nothing to chance. But we do not pretend to know all. There are some elements in the failure of supply that cannot be guarded against and there are some innovations which we may decide to be the best and the public may not also decide to be the best.

"And so a part of our work is to have a second way of doing everything, so that if one way fails we may turn at once to another and proceed without interruption.

"Controlling the alternative is not another way of saying that it is well to have something to fall back on; quite the contrary—anyone who falls might as well fall hard. What I want is more than one way of going forward—an extra wheel, a spare tire, a whole new car, if possible.

THEN CAME WHAT WAS CALLED THE "AMERICAN" FILM

"That policy proved its worth. We had started making dry plates and for a time were nearly the only makers. Then others came into the business because it was profitable and soon the market threatened to be glutted with plates. We found ourselves in a highly competitive business with very little profit on each turnover. Our principle was to make photography ever easier; the dry plate was a step forward from the wet plate. The next logical step was to make the dry plate in some less bulky form. We had found that a coated paper treated with emulsion would take pictures. That was evidently the way toward simplicity, for, if the film could be placed on rollers, then not only would the objection of having to put in a fresh plate for each exposure be overcome, but also a photographer could carry in a small compass, a sufficient amount of film for a great number of photographs.

"William H. Walker, who had been in the dry-plate business and sold out, joined me in an effort to work out the film. He was the mechanic and I was the chemist—we divided roughly on those lines, but our work was nearly overlapping. We had to discover:

"1. A substitute for the heavy glass plate.

"2. An apparatus for coating the right flexible surface when we found it, for the methods used with plates would not work on a flexible surface.

"3. A mechanism for the exposure in the camera of the substance we hit upon.

"I invented what was known as the 'American film,' in which the negative image was received on paper and transferred to a gelatine sheet—it was not the as good as the best dry plate, but it wa

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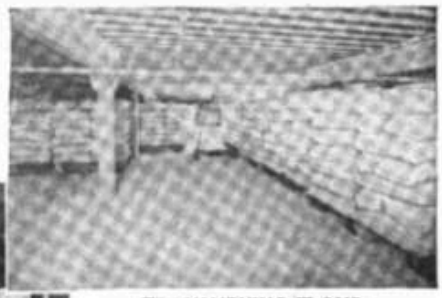
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him. But, in spite of this inconvenience, growing from the big roll of film, the new Kodak was a longer step toward simplicity than any that had previously been taken. Out of that situation arose the familiar advertising slogan 'You press the button and we do the rest.'

"And to illustrate something of what has happened since then. The first Kodak had a non-achromatic lens and only a fair shutter. It sold for $25. The camera which we sell today that most nearly corresponds to it is the No. 2 Brownie. Instead of a round picture it takes one 2¼ inches by 3¼ inches—which is a larger area; it has a fine achromatic lens, a good shutter, and takes the convenient, daylight-loading, cartridge spool. But it sells for $3.33 and used to sell for $2. That is what I mean by making the camera as easy as the pencil—both to buy and to use.

"A skilled amateur could, of course, develop his own films, but the average man did get into trouble. Our slogan in a way solved that particular difficulty, but it brought on a new one which we took a long while to realize. We stamped ourselves as an 'amateur' concern and hence an amateur who had more than average skill would not use the Kodak. We were in danger of losing our ideal.

WHY WE CHOSE FIRST TO MAKE THE BEST AT ANY PRICE

"Out of that situation came another policy—that it is not good for any organization unless under exceptional circumstances, to limit itself to making less than the finest that can be made. We might have gone forward making cameras for the use of the amateur and not have bothered with the professionals. There is more money in sales to amateurs than in sales to professionals. But I have found that the right morale is more easily maintained, and that one best goes forward in own experiments, if a high mark is set.

"One cannot as well make the best for money, whatever the price, unless also one can and does make the best that can be made at any price. I doubt if we could have made the little "Brownie" that used to sell at a dollar and which will take first-class photographs, unless we also made expensive cameras.

"When, some years ago, we decided to grind our own lenses, we did not start with the simple, inexpensive sorts—such as finders or single achromatic. Instead, we began with the highest type astigmatic lens, and we did not attempt to turn out a common lens until we had proved that we could make as good as were anywhere produced. Therefore, very early in the progress of the Kodak we started research work that brought us in touch with the professional photographer; he was not easy to reach. Today, after years of laboratory experiment have made us absolute leaders in photographic researc we have a school that holds sessions over the country so that the professiona

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may learn the very latest developments in the art of photography.

"The professional business is indeed profitable, but I think we could continue it even if it were not profitable simply on account of the spur it gives by keeping us in touch with the most skilful practitioners in the art.

"These are, I think, the major lessons that have come to me out of many thousand turns and twists in 42 years of business. There is one further lesson and that is in executive duty and responsibility. In the beginning, I was the business and I have always kept very close to it. I am in my office every day and all day, but I do not manage—I supervise. That I have found to be the best way to insure large results. Of course, it would be quite out of the question for any one man to go into all the daily details of our business, but it would be entirely possible to roam about and attempt to keep in physical touch with what everyone is doing. As president, I might consider myself as the executive and only delegate duties to the other executives. I do nothing of the kind and have not for many years. I have no executive duties whatsoever.

TO AVOID THE DANGER OF OVER-ORGANIZATION

"Every man in charge of a department of the business—and there are many departments—is solely responsible for his department without direction from me. My office is up in the top of a high building and far away from all the other offices of the executives. Nothing is referred to me other than matters of policy and neither have I devised anything which might be described as an elaborate organization, for I am firm in the thought that over-organization holds many dangers. I do not like the idea of men being mere parts of a machine and it is perfectly possible—although not generally recognized—that a highly paid executive may, through too close organization, be nothing more than a machine unit.

"For instance, we have five factories in Rochester and we might easily combine them in such a manner that all their functions would be coordinated—they might well have the same purchasing departments, the same engineering departments and so on. That is not our plan. The head of each of these factories is as independent as though he were not even a member of the company. He is independent up to the point of results—that is, we are as a company concerned with the results achieved but the executive himself is the man to discover the best way to get those results.

"He may find that it is best to cooperate with another department—to use, for instance, our engineering department at Kodak Park, where he may have the services of some 600 men, or to have the aid of some purchasing department outside his own particular organization. All these are here for him, but the point is

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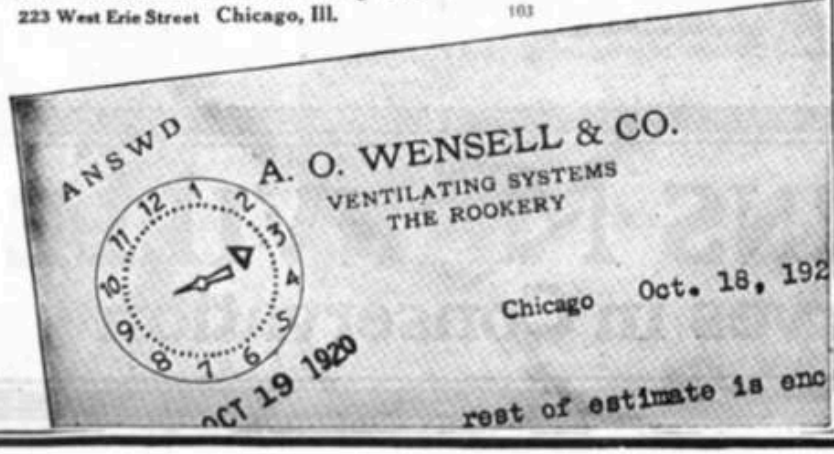
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that he is not bound to use them—he is not tied down to any one method—he is not personally standardized. If he finds that he can get what he wants outside the company better than inside, then he goes outside. We are concerned with results only. The attaining of those results, within the bounds of general policy, is a matter for the executive.

"It might seem that thus we overlook petty wastes—that we could save money on operations by a more closely coordinated method. Perhaps we could; doubtless we could. But our business is not pitched to save; it is here to produce. We want savings as incident to production and not instead of production. Production results from the whole attention of the whole of a man and once we transform a man, executive or worker, into a kind of push-button, we can be sure that we are not getting all that man could give. Therefore I am as much afraid of over- as of under-organization.

"We make our plans together and the executives execute them as they see fit. Only the results of what they do and not the details come before me. In fact, we have planned buildings and they have been up and have been in use for months before I have been inside one of them. We had decided upon the plan—so why bother about looking at the resulting building?

HOW THE COSTS AND SALES ARE REPORTED AND COMPARED

"Every cost of every operation comes to me in whatever detail I desire; for some operations, I have weekly detailed cost sheets with comparisons, for others I have monthly figures; the sales come to me daily. The detail varies according to the circumstances and I can always have more detail if I so desire, but the cost comparisons are what are really important—not the costs. I could not get these figures by looking at the operations—but then I would only tend to confuse the man actually on the job and would lose the perspective of the business. And also I would have less time for working with the experts toward the consummation of the ideal of the whole business. One easily loses an ideal among details.

"These, then, are the policies which I have found most important:

"1. The firm holding to an ideal—a definite objective which never can be reached.

"2. The guarantee, at any cost, of whatever is sold.

"3. The keeping out of avoidable debt for capital purposes—let the business, if possible, build itself and save money rather than borrow it.

"4. The control of the alternative.

"5. The making of the highest grade of product before attempting a lower and the cultivation of the quality as well as of the cheaper markets with the reservations I have given.

"6. The avoidance of over-organization."

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